UNITED STATES BANKRUPTCY COURT
FOR THE EASTERN DISTRICT OF PENNSYLVANIA

IN RE: TIG REAPER LLC, et al. Debtors. Debtors, TIG REAPER LLC, REAPER TIME NJ 1 LLC, REAPER TIME PA 1 LLC, and REAPER TIME PA 2 LLC, Plaintiffs, v. BANK MIDWEST, a division of NBH Bank, Defendant. Defendant.	:	Chapter 11 Case No. 26-13937 Case No. 26-13937 Chapter 11 Adv. Proc. No. 26-_____ Adv. Proc. No. _____

ADVERSARY PROCEEDING COMPLAINT

Plaintiffs TIG REAPER LLC, REAPER TIME NJ 1 LLC, REAPER TIME PA 1 LLC, and REAPER TIME PA 2 LLC, through their undersigned counsel, bring this action against Defendant Bank Midwest and, in support thereof, aver as follows:

PRELIMINARY STATEMENT

1. This action arises out of Defendant's breach of contract, violation of the duty of good faith and fair dealing, improper attempts to seize Plaintiffs' assets to collect on debt owed by third parties, and tortious interference with a $30 million sale of those assets to interested purchasers. Plaintiffs seek damages, injunctive relief, and a declaration that Defendants have no interest in those assets or, in the alternative, that such interest is subordinated.

2. In sum, this matter concerns an aggressive lender who, acting in bad faith, manufactured (non-monetary) defaults and seized on ambiguities within its own loan documents to strongarm Plaintiffs into paying debts owed by separate businesses.

3. In sum, this matter concerns an aggressive lender who, acting in bad faith, manufactured (non-monetary) defaults and seized on ambiguities within its own loan documents to strongarm Plaintiffs into paying debts owed by separate businesses.

4. Even though Plaintiffs remained current on their loan payments, Defendant purported to accelerate their loans (without providing the required notice and cure periods under the loan

documents) and took the extraordinary measure of commencing litigation to appoint a receiver

singularly to liquidate an otherwise going concern.

(or even sought) a guarantee from Plaintiffs to secure the separate debts at issue.

5. These actions have caused significant economic and reputational harm to Plaintiffs'

4. Even though Plaintiffs remained current on their loan payments, Defendant business.

purported to accelerate their loans (without providing the required notice and cure periods under

6. At the time of Defendant's improper interference, Plaintiffs sought to sell the business

the loan documents) and took the extraordinary measure of commencing litigation to appoint a at a favorable price, more than sufficient to pay off its debts to Defendant.

receiver singularly to liquidate an otherwise going concern.

7. However, Defendant's interference has undermined efforts to conduct an orderly sale,

greatly reducing the value and marketability of the business.

5. These actions have caused significant economic and reputational harm to Plaintiffs'

business.

PARTIES

6. At the time of Defendant's improper interference, Plaintiffs sought to sell the

business at a favorable price, more than sufficient to pay off its debts to Defendant.

7. However, Defendant's interference has undermined efforts to conduct an orderly

sale, greatly reducing the value and marketability of the business.

PARTIES

8. Plaintiff TIG REAPER LLC ("TIG Reaper") is a Delaware limited liability company

with a business address of 406 Executive Dr, Langhorne, PA 19047.

9. Plaintiff REAPER TIME NJ 1 LLC is a New Jersey limited liability company with a

business address of 406 Executive Dr, Langhorne, PA 19047.

10. Plaintiff REAPER TIME PA 1 LLC is a Pennsylvania limited liability company

with a business address of 406 Executive Drive, Langhorne, PA 19047.

11. Plaintiff REAPER TIME PA 2 LLC is a Pennsylvania limited liability company

with a business address of 406 Executive Drive, Langhorne, PA 19047. Plaintiffs REAPER TIME

NJ 1 LLC, REAPER TIME PA 1 LLC and REAPER TIME PA 2 LLC shall be referred to

collectively as the "Reaper Time Plaintiffs."

PARTIES

8. Plaintiff TIG REAPER LLC ("TIG Reaper") is a Delaware limited liability company

with a business address of 406 Executive Dr, Langhorne, PA 19047.

9. Plaintiff REAPER TIME NJ 1 LLC is a New Jersey limited liability company with a

business address of 406 Executive Dr, Langhorne, PA 19047.

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with a business address of 406 Executive Drive, Langhorne, PA 19047. Plaintiffs REAPER TIME

NJ 1 LLC, REAPER TIME PA 1 LLC and REAPER TIME PA 2 LLC shall be referred to

collectively as the "Reaper Time Plaintiffs."

interest; and Rule 7001(i) as a proceeding to obtain a declaratory judgment relating to the causes of action.

12. Defendant is a division of NBH Bank, a Colorado corporation with its principal place of business at 7800 E Orchard Road, Suite 300, Greenwood Village, Colorado.

14. Venue is proper in this Court as the district in which Plaintiff TIG Reaper filed for

JURISDICTION AND VENUE

Chapter 11 restructuring in In re TIG Reaper, LLC, 26-13937 (Bankr. E.D. Pa.). Fed. R. Bankr. P. 7003.

13. This Court has jurisdiction over this action pursuant to Fed. R. Bankr. P. 7001(b) as a proceeding to determine the validity, priority or extent of a lien or other interest in property; Rule 7001(g) as seeking injunctive relief; Rule 7001(h) as a proceeding to subordinate an allowed claim or interest; and Rule 7001(i) as a proceeding to obtain a declaratory judgment relating to the causes of action.

15. Plaintiffs hereby consent to the entry of final orders or judgment by this Court. See Fed. R. Bankr. P. 7008.

FACTUAL BACKGROUND

16. Plaintiffs own and operate Dave's Hot Chicken restaurants ("Restaurants") as franchisees of Dave's Hot Chicken Franchise Co., LLC ("Franchisor").

14. Venue is proper in this Court as the district in which Plaintiff TIG Reaper filed for Chapter 11 restructuring in *In re TIG Reaper, LLC*, 26-13937 (Bankr. E.D. Pa.). Fed. R. Bankr. P. 7003.

17. To pursue the development of additional Restaurants, TIG Reaper obtained two loans from Defendant:

15. Plaintiffs hereby consent to the entry of final orders or judgment by this Court. *See* Fed. R. Bankr. P. 7008.

(a) a certain term loan in the principal amount of $1,650,000.00 (the "Term Loan"), as evidenced by the Term Loan A Note dated August 15, 2024 ("Term Note"). A true and correct copy of the Term Note is attached as Exhibit 1.

FACTUAL BACKGROUND

(b) a certain drawdown line of credit in the principal amount of $5,000,000.00 (the

16. Plaintiffs own and operate Dave's Hot Chicken restaurants ("Restaurants") as "DLOC Loan," together with the Term Loan, the "Loans"), as evidenced by the franchisees of Dave's Hot Chicken Franchise Co., LLC ("Franchisor").

DLOC Note dated August 15, 2024 ("DLOC Note," together with the DLOC

17. To pursue the development of additional Restaurants, TIG Reaper obtained two Note, the "Notes"). A true and correct copy of the DLOC Note is attached as loans from Defendant: Exhibit 2.

18. Contemporaneous with the Notes, Plaintiff TIG Reaper and Defendant executed a

a. A certain term loan in the principal amount of $1,650,000.00 (the "Term Loan Agreement, a true and correct copy of which is attached as Exhibit 3 and a Security Agreement, a Loan"), as evidenced by the Term Loan A Note dated August 15, 2024 ("Term true and correct copy of which is attached as Exhibit 4.

Note"). A true and correct copy of the Term Note is attached as **Exhibit 1**.

19. Plaintiffs initially entered into the Loans to support the expansion of their successful

b. A certain drawdown line of credit in the principal amount of $5,000,000.00 (the restaurants.

"DLOC Loan," together with the Term Loan, the "Loans"), as evidenced by the

DLOC Note dated August 15, 2024 ("DLOC Note," together with the DLOC

Note, the "Notes"). A true and correct copy of the DLOC Note is attached as **Exhibit 2**.

18. Contemporaneous with the Notes, Plaintiff TIG Reaper and Defendant executed a Loan Agreement, a true and correct copy of which is attached as **Exhibit 3** and a Security Agreement, a true and correct copy of which is attached as **Exhibit 4**.

19. Plaintiffs initially entered into the Loans to support the expansion of their successful restaurants.

20. As stated in the Loan Agreement, the purpose of the Term Loan was to refinance existing debt, and the purpose of the DLOC Loan was to acquire leasehold sites for new Restaurants and to develop or improve existing Restaurants. Ex. 3, §§ 1.2(b), 1.3(b).

21. The Loan Agreement further provided that that Loans were to be secured by specific collateral, to wit TIG Reaper's tangible and intangible personal property in connection with three Restaurants ("Collateral"). Ex. 3, § 1.1 and Exhibit 1.1 thereto.

22. While the first DLOC draw period was 24 months, the Loan Agreement provided for an "Accordion" whereby Plaintiffs had the right to request, subject to Defendant's sole discretion, a 24-month extension, commensurate with $3.35 million in additional financing from Defendant. Ex. 3, § 1.3(i).

23. Regarding non-monetary defaults, section 6.1 of the Loan Agreement provides for a notice and cure period, quoted in full at Ex. 3, § 6.1(d). [Abridged in this sample: the block quotation of the filing is not reproduced.]

COUNT I: BREACH OF CONTRACT & BREACH OF DUTY OF GOOD FAITH AND FAIR DEALING

24. Plaintiffs incorporate the foregoing averments as if fully set forth herein.

25. Plaintiffs and Defendant are parties to the Loan Agreement, which provides that Plaintiffs have 30 days after written notice thereof to cure non-monetary defaults as a matter of course. Ex. 3, § 6.1(a).

26. As noted above, Defendants unlawfully accelerated the Loan by ignoring Plaintiffs' timely loan payments.

27. The Loan Agreement further provides that any non-willful failure that does not place the Collateral "in peril or jeopardy" shall not constitute a default if Plaintiffs cure the failure within 30 days and proceed to cure within 90 days. Id.

28. None of the defaults alleged by Defendant are for non-payment.

29. None of the alleged defaults by Plaintiffs were willful.

(d) Non-Monetary Events of Default. If any Credit Party fails to observe or perform any of the covenants, conditions, or obligations of this Agreement or any of the other Loan Documents, other than those referred to in the other subsections of this Section 6.1, and such failure continues without being fully cured for more than 30 days following written notice to such Credit Party of such failure. However, if such failure is not willful or intentional, does not place any rights or interest in any Collateral in immediate jeopardy, and is within the reasonable power of such Credit Party to promptly cure after receipt of notice thereof, all as determined by Lender in its reasonable discretion, then such failure shall not constitute an Event of Default (unless

133. Defendant's unlawful acceleration effectively prevented any cure of the non-monetary breaches.

134. Defendant's actions breach the terms of the Loan Documents, and also breach the duty of good faith and fair dealing implied in every contract.

135. Defendant's breaches have caused Plaintiffs at least $14 million in damages, which damages are accruing.

WHEREFORE, Plaintiffs seek judgment in their favor and against Defendant in an amount in excess of $75,000, and costs, and such other relief as this Court shall deem just and proper.

COUNT II: TORTIOUS INTERFERENCE WITH PROSPECTIVE CONTRACTUAL RELATIONSHIP

136. Plaintiffs incorporate the foregoing averments as if fully set forth herein.

137. Plaintiffs had been actively exploring the sale of the Restaurants for an amount sufficient to repay all indebtedness owed under the Loan Documents and had a reasonable probability of entering into a contractual relationship with prospective purchasers of the Restaurants, having engaged in tentative discussions with a prospective buyer concerning a sale of the Restaurants for approximately $30 million.

138. Defendant knew or should have known of Plaintiffs' efforts to sell the Restaurants and the prospective contractual relationship with the prospective buyer.

139. Plaintiffs' prospective sale was a valid and reasonably probable economic relationship, and not merely a speculative hope of future business.

140. Defendant intentionally interfered with Plaintiffs' prospective contractual relationship by, among other things, improperly declaring Plaintiffs in default, accelerating the Loans, asserting rights in Plaintiffs' assets that Defendant did not possess, threatening to take

30. The Collateral was not and is not "in immediate jeopardy" as a result of any alleged defaults, nor does Defendant so allege in the Lawsuit.

31. Plaintiffs were entitled to 90 days (and in no instance less than 30 days) to cure the alleged defaults.

32. Instead, Defendant accelerated the loan in bad faith two days after sending a notice of default, even after Plaintiffs timely cured any alleged nonpayment.

33. Defendant's unlawful acceleration effectively prevented any cure of the non-monetary breaches.

34. Defendant's actions breach the terms of the Loan Documents, and also breach the duty of good faith and fair dealing implied in every contract.

35. Defendant's breaches have caused Plaintiffs at least $14 million in damages, which damages are accruing.

WHEREFORE, Plaintiffs seek judgment in their favor and against Defendant in an amount in excess of $75,000, and costs, and such other relief as this Court shall deem just and proper.

COUNT II: TORTIOUS INTERFERENCE WITH PROSPECTIVE CONTRACTUAL RELATIONSHIP

36. Plaintiffs incorporate the foregoing averments as if fully set forth herein.

37. Plaintiffs had been actively exploring the sale of the Restaurants for an amount sufficient to repay all indebtedness owed under the Loan Documents and had a reasonable probability of entering into a contractual relationship with prospective purchasers of the Restaurants, having engaged in tentative discussions with a prospective buyer concerning a sale of the Restaurants for approximately $30 million.

38. Defendant knew or should have known of Plaintiffs' efforts to sell the Restaurants and the prospective contractual relationship with the prospective buyer.

39. Plaintiffs' prospective sale was a valid and reasonably probable economic relationship, and not merely a speculative hope of future business.

control of and liquidate Plaintiffs' assets through a receivership, and pursuing the Lawsuit seeking appointment of a receiver to control and sell the Restaurants.

141. Defendant's conduct interfered with Plaintiffs' ability to consummate a sale of the Restaurants and substantially diminished their value to prospective purchasers.

142. As a direct and proximate result of Defendant's intentional interference, Plaintiffs have suffered damages in an amount to be proven at trial.

143. Defendant's interference was improper and without justification or privilege because, among other things, Defendant sought to exercise rights in Plaintiffs' assets to secure obligations allegedly owed by non-party TIG Queso, despite Plaintiffs' Collateral securing only Plaintiffs' obligations under the Loan Documents, and did so before Plaintiffs had been afforded the contractual opportunity to cure the alleged non-monetary defaults.

WHEREFORE, Plaintiffs seek judgment in their favor and against Defendant in an amount in excess of $75,000, together with costs, and such other relief as this Court deems just and proper.

COUNT III: INJUNCTION AGAINST CROSS-COLLATERALIZATION

144. Plaintiffs incorporate the foregoing averments as if fully set forth herein.

145. Defendant asserts a security interest in Plaintiffs' Collateral for liabilities owed to Defendant by TIG Queso.

146. Defendant has not yet exhausted its pursuit of TIG Queso's collateral under the relevant loan agreements.

147. Further, on or about July 21, 2026, Defendant's counsel stated to Plaintiffs' counsel that Plaintiffs' Collateral was not cross collateralized as security for TIG Queso liabilities to Defendant.

148. Plaintiffs' business is a going concern and has a market value more than sufficient to cover the indebtedness owed to Defendant.

149. Defendant's pursuit of the Collateral will result in immediate and irreparable harm to Plaintiffs in the form of loss of the Restaurants.

150. Greater injury would result to Plaintiffs from denial of the injunction than from granting it, because Defendant has separate collateral owned by TIG Queso to satisfy the debts under those separate loan agreements.

151. Injunctive relief would preserve the status quo of Plaintiffs' operating Restaurants and pursuing a sale for fair market value prior to Defendant's wrongful declaration of defaults.

152. Plaintiffs have no adequate remedy at law because liquidation of the Collateral to satisfy debts of a non-party would unjustifiably terminate Plaintiffs' businesses without cause.

153. The public has an interest in the continuity of restaurants that serve the public, and in avoiding unnecessary forfeiture or closure of such establishments.

WHEREFORE, Plaintiffs seek a preliminary and permanent injunction against Defendant's pursuit of the Collateral for obligations owed by TIG Queso, and such other relief as this Court shall deem just and proper.

COUNT IV: DECLARATORY JUDGMENT

154. Plaintiffs incorporate the foregoing averments as if fully set forth herein.

155. Defendants should be estopped from liquidating the Collateral for liabilities of TIG Queso because on or about July 21, 2026, Defendant's counsel stated to Plaintiffs' counsel that the Collateral was not cross-collateralized as security for TIG Queso liabilities to Defendant.

156. Plaintiffs seek a declaration that the Collateral shall not be used to satisfy the debts of TIG Queso to Defendant unless and until Defendant demonstrates to this Court that Defendant has exhausted the collateral under the TIG Queso loan agreements, and only after a hearing to determine whether the Collateral properly is subject to such a security interest.

WHEREFORE, Plaintiffs seek a declaratory judgment that Defendant may not pursue the Collateral for obligations owed by TIG Queso, and such other relief as this Court shall deem just and proper.

COUNT V: SUBORDINATION OF INTEREST

WHEREFORE, Plaintiffs seek a declaratory judgment that Defendant may not pursue the Collateral for obligations owed by TIG Queso, and such other relief as this Court shall deem just and proper.

57. Plaintiffs incorporate the foregoing averments as if fully set forth herein.

58. Defendant has an adequate remedy against TIG Queso in the form of the collateral provided in the TIG Queso loan documents.

COUNT V: SUBORDINATION OF INTEREST

59. Further, Defendant breached the Loan Documents and acted in bad faith by failing to give Plaintiffs the required time to cure non-monetary defaults.

60. Defendant's interest, if any, in the Collateral should be subordinated to other interests in this proceeding.

157. Plaintiffs incorporate the foregoing averments as if fully set forth herein.

158. Defendant has an adequate remedy against TIG Queso in the form of the collateral provided in the TIG Queso loan documents.

159. Further, Defendant breached the Loan Documents and acted in bad faith by failing to give Plaintiffs the required time to cure non-monetary defaults.

160. Defendant's interest, if any, in the Collateral should be subordinated to other interests in this proceeding.

WHEREFORE, Plaintiffs seek judgment in their favor and against Defendant, subordinating Defendant's claim to the Collateral for obligations owed by TIG Queso, and such other relief as this Court shall deem just and proper.

PRAYER FOR RELIEF

WHEREFORE, Plaintiffs respectfully request that this Court:

a) Enter judgment in their favor and against Defendant in an amount in excess of $75,000, and costs;

b) Enter an injunction against Defendant's pursuit of the Collateral for obligations owed by the Queso Entities;

c) Enter a declaratory judgment that Defendant may not pursue the Collateral for obligations owed by Queso Entities; and

d) Enter an order subordinating Defendant's claim to the Collateral for obligations owed by the Queso Entities; and

e) Such other relief as this Court shall deem just and proper.

PRAYER FOR RELIEF

WHEREFORE, Plaintiffs respectfully request that this Court:

(a) Enter judgment in their favor and against Defendant in an amount in excess of $75,000, and costs;

(b) Enter an injunction against Defendant's pursuit of the Collateral for obligations owed by the Queso Entities;

(c) Enter a declaratory judgment that Defendant may not pursue the Collateral for obligations owed by Queso Entities;

(d) Enter an order subordinating Defendant's claim to the Collateral for obligations owed by the Queso Entities; and

(e) Such other relief as this Court shall deem just and proper.

Dated: September 21, 2026

Respectfully submitted,

KANG HAGGERTY LLC

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Dated: September 21, 2026

Respectfully submitted,
KANG HAGGERTY LLC
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